

Calendar Line 5

Case Name: Strawbuck v. Equity Lifestyle Properties
Case No.: 22CV398628

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 6, 2025, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a representative action arising from alleged violations of wage and hour laws. On May 26, 2022, plaintiff Kristin Strawbuck filed a Class Action Complaint against defendant Equity LifeStyle Properties, Inc. (“ELS”). On August 3, 2022, Plaintiff filed a First Amended Class and Representative Action Complaint. On January 8, 2025, Plaintiff filed the operative Second Amended Representative Action Complaint against defendants ELS and MHC Property Management, L.P. (“MHC”) (collectively, “Defendants”), setting forth a sole cause of action for civil penalties under the Private Attorneys General Act (“PAGA”).

The parties have reached a settlement. Plaintiff now moves for approval of the settlement, and the motion is unopposed. The Court continued the motion from July 30 for further hearing for counsel to provide a copy of Plaintiff’s separate settlement agreement, and counsel has done so. As discussed below, the Court has reviewed the written submissions and is satisfied that the motion may be GRANTED.

II. Legal Standard

Under PAGA, an aggrieved employee may bring a civil action personally and on behalf of other current or former employees to recover civil penalties for Labor Code violations. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 [2022 U.S. LEXIS 2940].) Seventy-five percent of any penalties recovered go to the Labor and Workforce Development Agency (“LWDA”), leaving the remaining 25 percent for the employees. (*Ibid.*) PAGA is intended “to augment the limited enforcement capability of [the LWDA] by

empowering employees to enforce the Labor Code as representatives of the Agency.” (*Id.* at p. 383.) A judgment in a PAGA action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government. (*Id.* at p. 381.)

A superior court must review and approve any PAGA settlement. (Lab. Code, § 2699, subd. (1)(2).) The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) The proposed settlement must be submitted to the LWDA at the same time it is submitted to the court. (*Ibid.*)

As discussed by one court:

PAGA does not establish a clear standard for evaluating PAGA settlements. ...

¶

Accordingly, certain courts have been willing to approve PAGA settlements only if (1) the statutory requirements set forth by PAGA have been satisfied, and (2) the settlement agreement is fair, reasonable, and adequate in view of PAGA’s public policy goals.

(*Patel v. Nike Retail Services, Inc.* (N.D. Cal. 2019) 2019 WL 2029061, 2019 U.S. Dist. LEXIS 77988 (*Patel*), at *5.)

As part of this analysis, these courts have evaluated proposed PAGA settlements under the relevant factors from *Hanlon v. Chrysler Corp.* (9th Cir. 1998) 150 F.3d 1011, 1026. (*Patel, supra*, 2019 U.S. Dist. LEXIS 77988 at *5-6.) “Of the *Hanlon* factors, the following are relevant to evaluating [a] PAGA settlement: (1) the strength of the plaintiff’s case; (2) the risk, expense, complexity, and likely duration of further litigation; (3) the amount offered in settlement; (4) the extent of discovery completed and the stage of the proceedings; (5) the presence of government participation; and (6) the expertise and views of counsel.” (*Ibid.*)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson, supra*, 383 F. Supp. 3d at p. 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”],

quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

“[W]hen a PAGA claim is settled, the relief provided ... [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public” (*O'Connor, supra* at p. 1133.) The settlement must be reasonable in light of the potential verdict value. (*Id.* at 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759 at *8-9.)

III. Discussion

Plaintiff moves for approval of a proposed settlement made on behalf of “PAGA Settlement Members,” defined as follows:

[A]ll current and former non-exempt employees of MHC who worked in California during the PAGA Period [May 30, 2021 through the date on which the Court enters an Order of Approval].

(See Declaration of H. Scott Leviant (“Leviant Decl.”), Ex. 1 (“Agreement”), ¶¶ II.A.14, II.A.15.)

Defendant will pay a non-reversionary settlement amount of \$295,000. This amount includes attorney fees up to one-third of the settlement amount (i.e., \$98,333.33), litigation costs not to exceed \$26,000, settlement administration costs up to \$7,000, and a PAGA Penalty Amount of \$165,521.10, 75 percent of which (\$124,140.82) will be paid to the LWDA and 25 percent of which (\$41,380.27) will be distributed to PAGA Settlement Members on a pro-rata basis. Funds from checks that are not cashed within 180 days from the date of mailing will be sent to the Controller of the State of California to be held pursuant to the Unclaimed Property Law. (See Leviant Decl., ¶ 16.)

In exchange for the settlement, PAGA Settlement Members will be deemed to release the Defendants and related people and entities from:

[A]ny and all PAGA-based claims for civil penalties that all claims that arise out of or are related to the PAGA claims set forth in the PAGA Notice, The claims released also include any other relief potentially recoverable under PAGA based on the claims and allegations made or which could have been made in the Lawsuit during the PAGA Period, based on Plaintiff's PAGA Notice.

(Agreement, ¶¶ II.A.18, II.A.19, II.C.5.) The PAGA release provision is appropriately tailored to the facts alleged. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

Plaintiff also executed a separate "general release" of all claims against Defendants on January 6, 2025, in exchange for a payment of \$15,000. (See Agreement, ¶¶ II.A.6, II.C.5.b.) The Agreement references the "general release" of all claims by Plaintiff in relation to the request for attorney fees and costs. (*Id.* at ¶ II.C.2.) Plaintiff's counsel does not address the separate "general release" in his declaration, nor is it discussed in Plaintiff's motion. The Court finds that it must review the terms of Plaintiff's separate individual settlement agreement before it can issue a determination regarding the fairness of the settlement and the attorney fees and costs requests.

The matter had been continued from July 30 for further hearing for counsel to provide a copy of Plaintiff's separate settlement agreement, and counsel has done so. The Court has reviewed the separate settlement as well as Plaintiff's other written submissions and is satisfied that the motion for PAGA settlement approval may be GRANTED.

IV. Conclusion

The motion for approval of PAGA settlement is GRANTED.

A compliance hearing is set for April 1, 2026 at 2:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Case Management Conference at 2:30 p.m. is VACATED.

Calendar Line 6

Case Name: Zermeno v. FRC Balance LLC dba True Food Kitchen (Class Action)
Case No.: 24CV438842

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on July 30, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action arising from alleged violations of wage and hour laws. On May 13, 2024, plaintiff Jacqueline Zermeno began this action by filing a Class Action Complaint against defendant FRC Balance LLC dba True Food Kitchen (“Defendant”). On September 4, 2024, Plaintiff filed the operative First Amended Complaint (“FAC”), asserting the following causes of action: (1) failure to compensate for all hours worked; (2) failure to provide meal and rest periods; (3) failure to pay final wages on time; (4) failure to maintain accurate records; (5) failure to furnish wage and hour statements; (6) wrongful termination in violation of public policy; (7) discrimination and harassment; (8) failure to prevent and investigate discrimination and harassment; (9) failure to provide reasonable accommodation; (10) failure to engage in interactive process; (11) violation of California Family Rights Act (“CFRA”)/ Family Medical Leave Act (“FMLA”) rights; (12) intentional infliction of emotional distress; (13) unfair business practices; (14) violation of Private Attorneys General Act (“PAGA”).

According to the FAC’s allegations, Plaintiff began her employment with Defendant in early 2017 by working fulltime as a bartender. (FAC, ¶13.) In November 2023, Plaintiff requested all or more most of the December 2023 off from work to go to Mexico with her family, but her request was not approved. (*Id.* at ¶¶ 15-17.) Plaintiff left for her vacation, and when she came back to work she was alerted that she was being suspended. (*Id.* at ¶¶ 21-22.) Plaintiff’s last full day of work was November 24, 2023, and she received verbal notice of termination on January 5, 2024. (*Id.* at ¶ 25.) Plaintiff alleges, among other things, that she and